

SME - Engine of Growth

State Bank India

Indubitable Commitment to the SMEs



State Bank of India has been playing a vital role in the development of small scale industries since 1956. To service the specific credit needs of small and medium enterprise (SME) the Bank established the Small & Medium Enterprise business unit in 2004.

During the year 2008-2009 advances to MSME sector increased to Rs 93808 crores as on 31.03.2009 from Rs. 74,324 crores as on 31.03.2008 registering a growth of 26.21%, while deposits of SME increased by Rs. 53042 crores during the year 2008-2009.



Keeping in view the current downturn in the economy, two new schemes namely "SME CARE" and "SME HELP" were launched to meet the urgent fund requirements of SME Units. Under these schemes finance is being sanctioned on

liberalized terms including lower margins, moratorium period of 6 months and concessional rate of interest 8% p.a.

To boost collateral free lending, the Bank is offering concessional rates of interest effective from 1st May 2009. Loans upto Rs. 5 lakhs are being offered at 8% rate of interest and loans above Rs. 5 lakhs and upto Rs. 25 lakhs are being offered at 10 % rate of interest. These concessions are being offered to new clients of the Bank and are offered for a period of two years

The bank has simplified the " Traders Easy Loan " and become the Traders Bank. Its new schemes " Power Jyoti " is launched for Educational institutions / brokers and " Parampara " for supporting Corporate Social Responsibility and other social service activities.

Winner of "National Awards for excellence in lending to Micro Enterprises" and "National Award for Excellence in MSE Lending", State Bank of India is not just a fair - weather bank but a bank which stands by its customers in the upswing as well as downswing.

Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)



सूक्ष्म एवं लघु उद्यम क्रेडिट गारंटी फंड ट्रस्ट
(भारत सरकार एवं सिडबी द्वारा स्थापित)
**Credit Guarantee Fund Trust
For Micro & Small Enterprises**
(Set up by Govt. of India & SIDBI)

In the absence of collateral or third party guarantee, adequate and timely finance at reasonable rates of interest to entrepreneurs having

viable business proposals in Micro & Small Enterprise sector has been a major bottleneck. Recognizing this weakness, the Government of India (GoI) and Small Industries Development Bank of India (SIDBI) set up the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) in August, 2000 to provide guarantee support to banks and lending institutions for their exposure to the MSE sector. The GoI and SIDBI are contributing to the corpus of CGTMSE in the proportion of 4:1, respectively. The committed corpus of the Trust is Rs.2500 crore. Cumulatively as on May 31, 2009, 1,60,682 proposals for Rs 5361 crore have been accorded guarantee approval.

Credit Guarantee Scheme (CGS)

Any collateral / third party guarantee free credit facility (both fund as well as non fund based) extended by eligible institutions, to new as well as existing Micro and Small Enterprises(MSEs) with a maximum credit cap of Rs.100 lakh (Rupees Hundred lakh only) are eligible to be covered. The guarantee cover available under the scheme is upto maximum extent of 85% of the amount in default.

Eligible Lending Institutions

Institutions which are eligible under CGS, are Public Sector Banks, Private Sector Banks, Foreign Banks, select Regional Rural Banks & select Financial Institutions. As on date, there are 96 Member Lending Institutions (MLIs) of the Trust.

Eligible Credit Facility

Credit facility upto Rs.100 lakh, both term loan and working capital facility (fund and non-fund based) per borrowing unit extended without any collateral security and/or third party guarantee to a new or existing MSE (both in the manufacturing & service sector excluding retail trade) is eligible to be covered under the scheme.

Security for Loan

Loans covered under the guarantee scheme may be secured only by way of primary security. For this purpose primary security has been defined to include assets created out of the credit facility so extended and/or which are directly associated with the project or business for which the credit facility has been extended. Any facility extended against collateral facility or third party guarantee is not eligible for coverage under the scheme.

Tenure of Guarantee

The Guarantee cover under the scheme runs through the agreed tenure of the term loan / composite credit. The tenure is 5 years or block of 5 years, in case standalone working capital facility is covered under Credit Guarantee Scheme.

Fee for Guarantee

The fee payable to the Trust under the scheme is a one-time guarantee fee @ 1.5% of the credit facilities sanctioned and annual service fee @ 0.75% per annum of the credit facilities sanctioned as on March 31, each year. For entrepreneurs in the North Eastern Region including Sikkim, one-time guarantee fee @ 0.75% of the credit facilities sanctioned (above Rs. 5 lakh to Rs.50 lakh) is applicable. However, for credit facilities sanctioned up to Rs. 5 lakh, one-time guarantee fee is now 1.0% and Annual Service Fee is 0.50%.

For further information visit our website www.cgtmse.in.